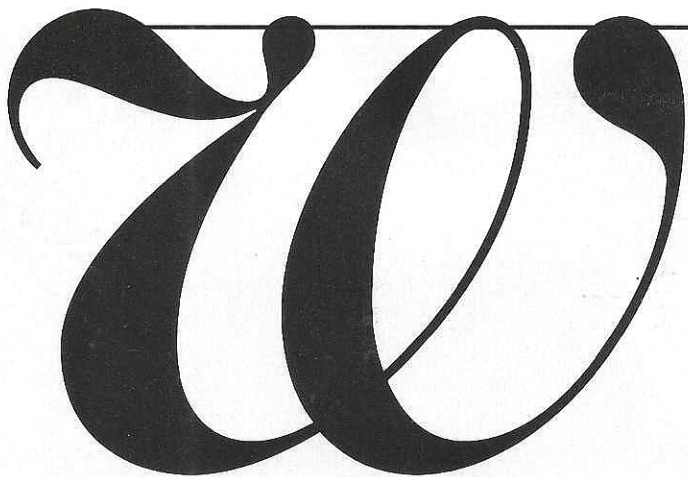




WHY DO YOUNG MINDS ATROPHY? It was 1996 and K.V. Kamath had just returned from Indonesia to take charge of the Industrial Credit and Investment Corporation of India (ICICI), where he had worked between 1971 and 1988. The poser came from Nachiket Mor, a fast rising, younger colleague from the treasury section. Mor had asked a young executive to send letters out to a few clients. "The way Nachiket put it, it was a simple mail-merge exercise," says 63-year-old Kamath. Two days later, the job was still not done. So Mor turned to Kamath for an answer. But, ICICI's all-powerful managing director and CEO had none.

While this anecdote is now part of ICICI lore, what Kamath did next—and how that would forever change ICICI—isn't very well known.

He began seeking answers from "everybody who came to me, who I thought had any understanding of this subject". His moment of epiphany was triggered by Harvard Business School professor Ramchandran Jaikumar, an expert on manufacturing processes. He was in Mumbai then, working on an ICICI-sponsored project on India's export competitiveness. Jaikumar, who died in 1998, had asked Kamath: "Are you a meritocracy?"

"Of course we are," came the reply.

"I'm not talking about merit; I am talking about meritocracy," Jai-

kumar countered.

Kamath was lost, and requested a simple explanation of the distinction. Jaikumar asked about the scale on which ICICI employees were measured, and how many bagged high grades. Kamath responded ("very proudly") that 90% to 95% of the employees were rated between four and five on a five-point scale.

"That is your problem," replied Jaikumar.

A decade and a half later, Kamath, now non-executive chairman of ICICI Bank (as it was renamed in 2002), admits how much of a revelation that was. If there was one moment which transformed ICICI from being a repository of talent to a finishing school for bankers, that was it.

Lying on the table in front of him is a list of 30-odd ex-ICICI managers, who now head a legion of finance outfits such as banks, brokerages, insurance firms. It includes Kalpana Morparia, CEO, J.P. Morgan India; Kishor Chaukar, MD, Tata Industries; Vedika Bhandarkar, MD

"A lot of people may not give Kamath credit, but they all are where they are because of him."

—Kalpana Morparia, CEO,
J.P. Morgan India
(ICICI stint: 1975-2007)

"My mandate as the head of Pru ICICI mutual fund was to make it the best private sector MF, from its 14th rank. Wanting to build leadership was a very clear focus."

—Ajay Srinivasan, CEO,
financial services,
Aditya Birla group
(ICICI stints:
1987-1991;
1998-2000)



"I learnt how to handle a run on the bank under Mr. Kamath."

—Amitabh Chaturvedi,
CEO and MD, Dhanlaxmi Bank
(ICICI stint: 1998-2003)

"There'll always be a little bit of ICICI in me. The rigour with which I analyse a company or a credit situation, I learnt it from there."

—Vedika Bhandarkar, MD
and vice chairman, Credit
Suisse Securities India
(ICICI stint: 1989-1998)

and vice chairman, Credit Suisse Securities India; Shikha Sharma, MD and CEO, Axis Bank; V. Vaidyanathan, vice chairman, Future Capital Holdings, and more (see list).

They control large swathes of India's finance industry. And compete with each other as well as ICICI, often using familiar ploys. Ask Amitabh Chaturvedi, head of Dhanlaxmi Bank (ICICI stint: 1998-2003), whether his rapid nationwide ATM ramp-up (380 in 18 months) is similar to what he did for ICICI eight years ago while heading retail liabilities and channels, and he smiles.

ICICI's incumbent CEO and MD, Chanda Kochhar, says going up against her ex-colleagues means she can sometimes second-guess them. "But it works both ways, so that gets neutralised."

This tribe of ex-ICICI bankers isn't universally adored. Many are viewed as arrogant, aggressive, and ruthless. Balaji Swaminathan, Standard Chartered Bank's head of client relationships, India and South Asia, who is rumoured to take over as vice chairman, Bank of America Merrill Lynch India, says the objective at other banks is to achieve returns for the shareholders. "While ICICI's policy is similar,

it's also to beat the competitor down the road," says the man who was also ICICI's chief financial officer (ICICI stint: 2001-2005).

Predictably, this lot is also acutely conscious of its lineage and makes the most of it. "When we approach ICICI's executives, we've noticed they tend to choose their assignments carefully. They know they have a premium attached," says Sonal Agrawal, CEO, Accord Group, a head-hunter, who has often scalped ICICI workers.

So there it is, a supremely networked and influential bunch of people who think they are stars, compete and help each other professionally, but never overstep boundaries. "I was just on the phone with Shikha asking her to meet someone I knew. But it is only a request. If the person doesn't fit the bill, that's fine. No offence taken," says Chaukar (ICICI stint: 1984-1998).

Rarely in the history of India Inc. has one institution produced so many leaders. Sure, in the mid- to late '90s, senior offices across the financial sector were occupied by the alumni of State Bank of India (SBI), Citibank, and ANZ Grindlays. But they weren't as numerous as ICICI's, or as widespread across distinct businesses.

The other commonly cited example is Hindustan Unilever, or Hindustan Lever as Unilever's 52% subsidiary was known till 2007. By the late '90s, its alumni headed around 197 companies in India, according to an article published in *Businessworld*, many of them post-liberalisation entrants. Hindustan Lever was then known as the school for CEOs.

But if ICICI now deserves a similar moniker—how about CEO Bank?—that's where its similarity with Lever ends. The consumer products major, which began operations in India as a trading outfit in 1888, has a long tradition of attracting the best and the brightest. Even in the '60s, its senior managers were routinely poached.



KALPANA MURBARIA AND AMITABH CHATURVEDI; BANDEEP SINGH; AJAY SRINIVASAN AND VEDIKA BHANDARKAR; SHIVYA PATIL SHINDE

THE ALUMNI ROSTER

NAMES	ICICI STINT	LAST POST AT ICICI GROUP	CURRENT POSITION
BHANDARI, S.	2000-2004	CEO, ICICI Pru Mutual Fund	MD & CEO, ING Vysya Bank
BHANDARKAR, VEDIKA	1989-1998	Vice President, I-Sec	Vice Chairman, Credit Suisse Securities India
BHOJANI, S.H.	1973-2001	Deputy MD, ICICI Bank	Partner, Amarchand & Mangaldas
CHAKRABORTY, SUVALAXMI	1989-2006	Head, rural, agri, microbanking business, ICICI Bank	CEO, State Bank of Mauritius, India operations
CHATTERJEE, SONJOY	1994-2010	Head, wholesale, international & govt banking, ICICI Bank	Co-CEO, Goldman Sachs India
CHATURVEDI, AMITABH	1998-2003	Head, retail channels and liabilities, ICICI Bank	CEO & MD, Dhanlaxmi Bank
CHAUKAR, KISHOR	1984-1998	MD, I-sec	MD, Tata Industries
GAMBHIR, NEERAJ	1998-2007	Senior GM, ICICI Bank	Head, credit business, Nomura India
HARSHAN, K.S.	1994-2002	Head, I-banking & forex, ICICI Bank	Retired as ED, Federal Bank
JAIN, NITIN	1996-2010	CEO, primary dealership, I-sec	Head, fixed income, Nomura India
JHAVERI, DHANPAL	2002-2004	Head, M&A and investment banking, I-Sec	CEO, Everstone Capital
KALYAN, MADHAV	1995-2008	Regional GM, Asia & Middle East; CEO, Hong Kong branch, ICICI Bank	MD, Bank CEO, JP Morgan Chase Bank India
KHASNOBIS, S.	1981-2006	Head, special assets management group, ICICI Bank	CEO & MD, ARCIL
KUMAR, DEVESH	2000-2006	Head, equities, I-sec	Group CEO, Fortune Financial Services*
MAHESHWARI, SUNEET	1985-2000	Head, advisory services, ICICI	CEO, L&T Infra Finance
MOR, NACHIKET	1987-2010	Co-chairman, ICICI Foundation	Co-chairman till March 2011
MORPARIA, KALPANA	1975-2007	Chief Strategy and Communications Officer, ICICI group	CEO, J.P. Morgan India
MUKERJI, ANANDA	1989-2000; 2001-2004	MD & CEO, Firstsource Solutions (then 100% ICICI-owned)	Non-executive Vice Chairman, Firstsource Solutions
NIRANJAN, J.	1991-2006	Head, I-banking, I-sec	Head, I-banking, Tata Capital
PINGE, NAGESH	1998-2006	Senior GM, ICICI Bank	Chief Internal Auditor, Tata Motors
RAMNATH, RENUKA	1986-2009	MD & CEO, ICICI Ventures	Founder, Multiples Alternate Asset Management
RAVIKUMAR, P.H.	1994-2006	Senior GM and head, SMEs and agri business, ICICI Bank	CEO, Invent Assets Securitisation and Reconstruction
RAZDAN, PANKAJ	1998-2007	MD, ICICI Pru Asset Management Company	Deputy CEO, financial services, Aditya Birla group
SANKARAN, HARI	1987-1990	Project Finance Specialist, ICICI	MD & CEO, IL&FS
SHAH, RASHESH	1989-1995	Head, research & investment, ICICI	Founder Chairman, Edelweiss
SHARMA, SHIKHA	1980-2009	CEO, ICICI Pru Life Insurance	MD & CEO, Axis Bank
SRINIVASAN, AJAY	1987-1991; 1998-2000	MD, Pru ICICI (as it was called when Prudential had a larger stake)	CEO, financial services, Aditya Birla group
SWAMINATHAN, BALAJI	2001-2005	Head, corporate & institutional bank group, ICICI Bank	Vice Chairman, Bank of America Merrill Lynch India [expected]
TANDON, AMIT	1984-2001	Head, I-banking, ICICI Bank	MD, Fitch Ratings India
VAIDYANATHAN, V.	2000-2010	CEO, ICICI Pru Life Insurance	Vice Chairman, Future Capital Holdings
VIVEK, KANWAR	1994-2008	GM, retail liability group, ICICI Bank	CEO, Aditya Birla Money #

This list is not exhaustive; it has been compiled through Fortune India's research. ICICI Bank does not maintain a record of its alumni. Names listed in alphabetical order. * has no relation to Fortune India; # Recently quit.

was over. Three weeks later, Bhojani was offered a job at ICICI. He later learned that Parekh, who didn't say a word during the interview, had reasoned with Medhora. "Mr. Parekh told him, 'The boy has put a challenge before us. It's up to us to accept it or say sorry, we're not up to it,'" says Bhojani. He would spend the next 28 years at ICICI, winding up as deputy MD.

Even in the control economy, this enlightened way of dealing with people had become part of ICICI's culture. By the late '80s, as Vaghul's ideas started taking form, young, ambitious professionals began to take notice of ICICI. Though it remained partially state-owned—the government's shareholding dropped significantly by the late '80s—ICICI took the lead in reshaping the country's financial services landscape. In 1986, along with the Unit Trust of India, it set up the Credit Rating and Information Services India Ltd (Crisil), India's first credit rating agency. The same year, it promoted the Shipping Credit and Investment Company of India. Two years later, it set up Technology Development and Information Company of India, the country's first venture capital outfit.

Vaghul was aware that he was creating something new. He formed a peer group of CEOs with whom he would regularly discuss ideas. The group included Ashok Ganguly, chairman, Hindustan Lever; Ratan Tata, then heir presumptive of the Tata group; Madhu Patwardhan, vice chairman and CEO, National Organic Chemical Industries, a Shell-Mafatlal joint venture; Keshub Mahindra, chairman, Mahindra & Mahindra; and Suresh Krishna, chairman, Sundram Fasteners. "We would meet regularly at the Chambers (at Mumbai's Taj Mahal hotel), or some other place, exchange ideas,